HOCHSCHULE HEILBRONN

BUSINESSES AND COMPANIES

Opening question

What makes Aster Audio a business?

Which resources does it need to provide Aster One earbuds?

What is a business?

- A business organises people and resources to provide goods or services to customers.
- It creates value by meeting a need and must pay for the resources it uses.
- Its legal form determines ownership, responsibility and liability.

Stakeholder question

Aster's battery shipment is delayed. Who is affected, and what might each group want?

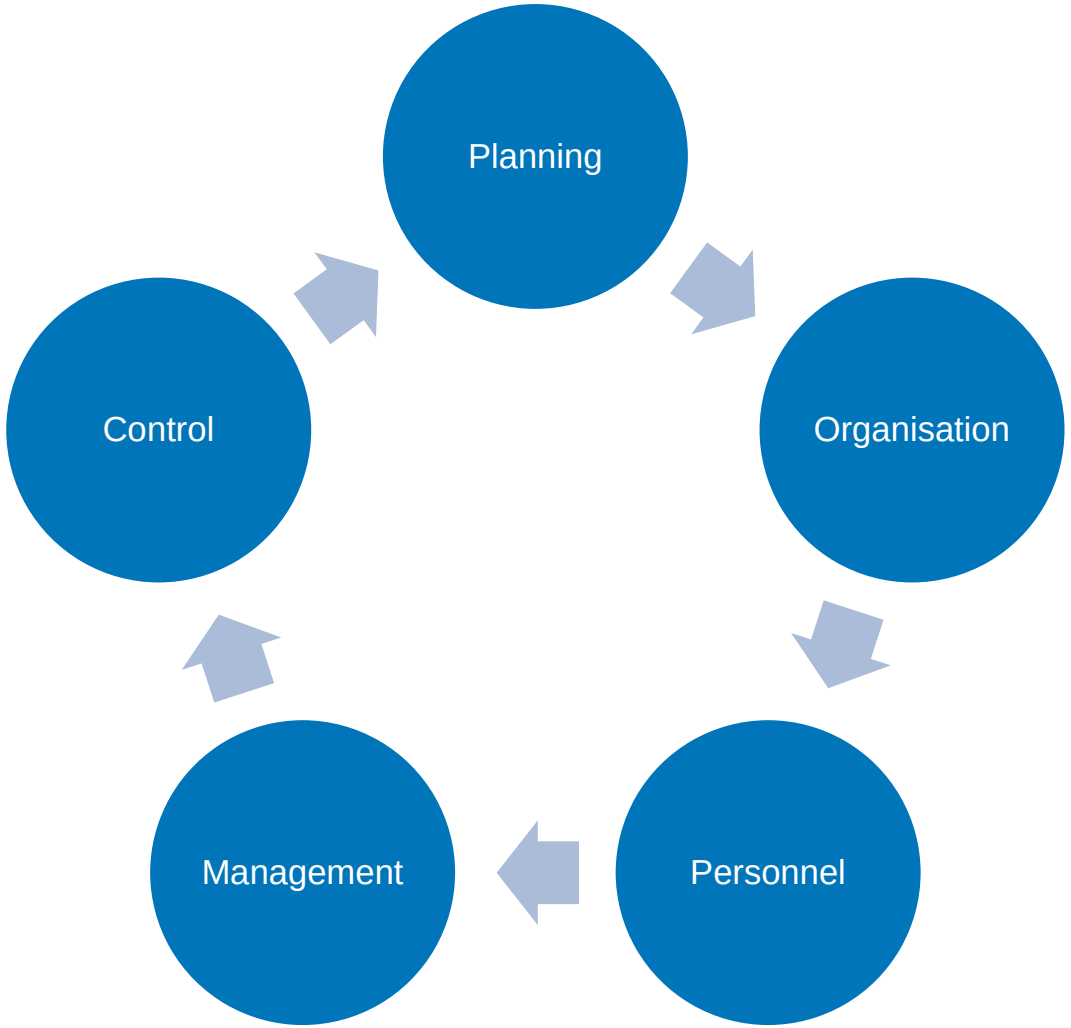
Who has a stake in Aster Audio?

- Customers want reliable Aster One earbuds at a fair price.
- Employees want fair pay and safe work.
- Suppliers want clear orders and payment on time.
- Owners need the business to remain financially viable.
- Government and communities expect legal and responsible behaviour.

What does management do?

- Choose objectives and a direction for the business.
- Plan the work and allocate scarce resources.
- Organise people and tasks.
- Check results and adjust when conditions change.

Five recurring management activities



Three levels of management

- **Normative:** Why do we exist? What values guide decisions?
- **Strategic:** Which customers will we serve, and how will we compete?
- **Operational:** Who does what, by when, and with which resources?

Question: vision or strategy?

Aster wants students to keep their earbuds for longer. Is this a vision, a strategy or an action?

What decision would turn it into a strategy?

Vision, strategy and action

- **Vision:** the future the business wants to help create.
- **Strategy:** the choices it makes to move towards that vision.
- **Actions:** the work, deadlines and resources needed now.
- **Budget:** the money available and how the business plans to use it.

Aster Audio: from vision to decision

- **Vision:** students can keep good audio products for longer.
- **Strategy:** design Aster One for repair and dependable delivery.
- **Action:** choose a replaceable battery and a service partner.
- **Trade-off:** a repairable design may cost more at launch.

Vision and strategy: a useful distinction

- A vision describes a desirable future.
- A strategy chooses where and how the business will act.
- A good strategy also says which opportunities the business will leave aside.

HOCHSCHULE HEILBRONN

COMPANY GOALS AND ORGANISATION

Making company goals useful

- **Specific:** what result do we want?
- **Measurable:** how will we know?
- **Achievable:** can our resources deliver it?
- **Relevant:** does it serve the business objective?
- **Time-bound:** by when?

Different kinds of goals

- **Financial:** earn enough to cover costs and fund future work.
- **Customer:** deliver a useful product and dependable service.
- **Operational:** reduce delays, errors and waste.
- **People and environment:** support safe work and use resources responsibly.

How goals relate

- **Complementary:** progress on one helps another. Less waste can lower cost.
- **Competing:** progress on one may make another harder. Faster delivery can raise transport cost.
- **Independent:** one goal has little direct effect on another in the stated situation.

Question: goals and trade-offs

For each pair, are the goals complementary, competing or largely independent?

A. Faster delivery and lower transport costs

B. Fewer production defects and fewer returns

C. More repairable products and lower launch cost

Question: organising work

An Aster One order arrives today. Which teams must work together before the customer receives it?

Why organise a business?

- Aster needs people to design, buy, make, sell and deliver its products.
- An organisation assigns responsibility and decision authority.
- It also connects tasks so that a customer order moves from purchase to delivery.

A task needs a clear owner and result

- What needs to happen? Receive and check batteries.
- Who is responsible? A named warehouse role or team.
- When and where? Before assembly, at the receiving area.
- With what result? Correct quantity, documented quality and timely availability.

Structure: who decides and reports?

- A functional structure groups specialists such as purchasing, production, sales and logistics.
- It clarifies reporting lines and who can make decisions.
- **Challenge:** departments must coordinate when a decision affects the whole order.

Process: how does the order move?

- **Customer order:** sales records the promise.
- Purchasing and production confirm materials and capacity.
- Logistics arranges dispatch and tracks delivery.
- Customer service handles questions or returns.

Functional organisation

- People with similar skills work together in departments.
- **Benefit:** specialisation and shared expertise.
- **Risk:** each department may optimise its own target while the customer order suffers.
- **Aster example:** purchasing chooses a cheap supplier, but late parts delay delivery.

Functional structure at Aster Audio

- **Managing director:** sets direction and resolves conflicts.
- **Purchasing:** chooses suppliers and orders components.
- **Production:** schedules assembly and checks quality.
- **Sales and logistics:** promise and deliver customer orders.

Process-oriented organisation

- Teams follow the customer order across department boundaries.
- **Benefit:** faster handoffs and a clearer view of customer needs.
- **Risk:** shared resources and capacity need careful coordination.
- **Aster example:** one order team tracks an order from confirmation to delivery.

Divisional structure

- A business can group teams by product or customer market.
- Each division is responsible for its own results.
- **Benefit:** closer attention to its customers.
- **Risk:** divisions may duplicate people and resources.

Staff specialists and line managers

- Line managers make decisions and direct everyday work.
- Staff specialists provide advice, such as legal, finance or sustainability expertise.
- **Aster example:** a quality specialist advises production on a recurring battery fault.

Matrix structure

- An employee may work within a function and on a product team.
- **Benefit:** Aster One can use expertise from purchasing, production and logistics.
- **Risk:** two managers may set conflicting priorities.
- Clear decision rights help resolve the conflict.

Project team for a product launch

- A project has a specific result and a defined end.
- Aster forms a temporary team to launch Aster One.
- Purchasing, production, sales and logistics work together until launch tasks are complete.

Coordinating across the business

- **Clear responsibility:** everyone knows who makes a decision.
- **Shared information:** teams see stock, schedules and orders.
- **Regular coordination:** people resolve changes before they become delays.

Logistics connects suppliers, internal work and customers.